Higher National Diploma in Accountancy

First Year, First Semester Examination – 2023

DA 1142 – Global Business Environment

Instructions for Candidates:
Answer four questions **including Question 1**
All questions carry equal marks.

No. of questions: 05
No. of pages : 03
Time : Two hours

Question 1

Write the correct answer on the answer script

i. By which organization was the General Agreement on Trade and Tariff replaced in 1995?

a. World Bank
b. OPEC
c. World Trade Organization
d. International Monetary Fund

ii. Block chain is a peer-to-peer _____ distributed ledger technology that makes the records of any digital asset transparent and unchangeable.

a. Decentralized
b. Demanding
c. Secure
d. Popular

iii. Which of the following is not a factor that has led to globalization?

a. Advances in technology
b. International trade
c. Political instability
d. Free trade agreements

iv. Out of the following, which one does not characterize globalization?

a. Free trade
b. Integration of financial markets
c. Protectionism in trade policies
d. Liberalization

v. Which term describes the way the production and distribution of goods and wealth are maintained and regulated by society, rather than a particular group of people.

a. Socialism
b. Capitalism
c. Mercantilism
d. Communism

vi. What is the term used for the set of rules governing behavior and enforcing value?

a. Language
b. Virtues
c. Norms
d. Beliefs

vii. SAARC stands for _____?

a. South Asian Association for Regional Cooperation
b. South American Association for Regional Cooperation
c. Small Agricultural Association for Regional Cooperation
d. South Asia Association for Railway Cooperation

viii. Identify the strategy that enables individual subsidiaries of a multinational firm to compete independently in different domestic markets

a. International
b. Multi-domestic
c. Global
d. Transnational

ix. Knowing what is good or bad according to moral standards is identified as

a. Corporate social responsibility
b. Business ethics
c. Values
d. Integrity

x. What are the tools which can be used to measure innovativeness?

a. SWOT analysis, Innovation Index, Key Performance Indicators
b. Return on Investment, Internal Rate of Return, Payback Period
c. Innovation Index, Balance Scorecard, Key Performance Indicators
d. Balance Scorecard, SWOT analysis, PEST analysis

[Total 25 Marks]

Question 2

i. List four instruments used by the government to control international trade.(2 Marks)

ii. What is an international business? Give 3 examples of international business. (5 Marks)

iii. What are the reasons of businesses to enter into international markets? (5 Marks)

iv. Determine the problems faced by global business organizations (5 Marks)

v. Do you think that the costs of globalization outweigh its benefits? Justify your answer. (8 Marks)

[Total 25 Marks]

Question 3

i. What is culture? (2 Marks)

ii. What are the areas of International political economy? (4 Marks)

iii. List down the components of culture (5 Marks)

iv. Distinguish capitalism and communism in political economy. (6 Marks)

v. Examine how the communication styles can create significant challenges in international business (8 Marks)

[Total 25 Marks]

Question 4

i. Identify four international financial markets (2 Marks)

ii. What are the advantages of Artificial Intelligence(AI) (4 Marks)

iii. Briefly explain the spot market (5 Marks)

iv. Differentiate the introduction and growth stages of a product life cycle (6 Marks)

v. Evaluate the Rogers Adoption-Innovation Curve (8 Marks)

[Total 25 Marks]

Question 5

Write the short notes on the following

i. Corporate social responsibility (5 Marks)

ii. Pros and cons of globalization (5 Marks)

iii. Open trade and its advantages (5 Marks)

iv. Difference between GATT and WTO (5 Marks)

v. Contribution of any two(02) International bodies to Sri Lanka's economy (5 marks)

[Total 25 Marks]